January 2019 Paper 02

Question 1

1(a) Capital as a factor of production

Define the term 'capital' as a factor of production and state TWO examples. (4 marks)

Capital, as a factor of production, refers to all the man-made resources that are used in the production of other goods and services. It is not the actual goods or services produced, but rather the assets that the business invests in to make production possible.

Two examples of capital are:

- Machinery and equipment used in a factory to manufacture goods, such as a sewing machine in a garment factory.
- Buildings and tools owned by the business, such as a delivery van or a computer used in the office.

1(b) Sources of capital

List FOUR sources of capital that could be used when setting up a business. (4 marks)

Four sources of capital that could be used when setting up a business are:

- Personal savings of the owner, used to provide the start-up capital without having to borrow.
- A loan from a commercial bank, which has to be repaid with interest over an agreed period.
- Money borrowed from family and friends, often on more flexible terms than a bank loan.
- A grant or loan from a government agency that supports small businesses or new entrepreneurs.

1(c) June's small supermarket

June wants to set up a small supermarket, but is unsure whether she should operate as a sole trader or establish a partnership. (i) Define the term 'partnership'. (2 marks); (ii) Outline TWO benefits of June establishing a partnership over a sole trader type business. (4 marks); (iii) Suggest THREE ethical issues that June should consider in setting up and operating her business. (3 marks); (iv) Explain to June the importance of conducting a feasibility study. (3 marks)

(c)(i) Definition of partnership

A partnership is a type of business organisation in which two or more persons, but no more than twenty, agree to come together to own and run a business with the aim of making a profit. The partners share the capital, the work, the decision-making and the profits and losses of the business according to a written partnership agreement.

(c)(ii) TWO benefits of partnership over sole trader

<u>More capital is available to start and run the business</u>

Because June would have one or more partners contributing money to the business, the partnership would have more capital than she could raise on her own as a sole trader. This extra capital would help her to

buy more stock, rent a larger building and invest in better shelving and refrigeration than would be possible if she had to use only her personal savings.

Sharing of work, skills and risk among partners

In a partnership, June and her partners would share the day-to-day running of the supermarket and would each bring different skills, such as accounting, marketing or stock control. The risk of any losses is also shared among the partners, so June would not have to bear the full burden alone as she would as a sole trader.

(c)(iii) THREE ethical issues June should consider

- Honesty in pricing and labelling, by displaying clear and correct prices on goods and not selling expired or damaged products to customers.
- Fair treatment of employees, by paying agreed wages on time, providing safe working conditions and not discriminating in hiring or promotion.
- Honesty in paying suppliers and government taxes, by settling bills with suppliers as agreed and paying all required taxes such as income tax and value added tax in full.

(c)(iv) Importance of conducting a feasibility study

A feasibility study is important to June because it will help her to find out, before she spends money, whether her supermarket idea is likely to succeed. It forces her to look carefully at the demand for groceries in the area, the level of competition from other shops, the cost of renting premises and stock, and whether she has enough capital and skills to run the business. The study also gives her clear figures and information that she can show to a bank or investor when applying for a loan, which makes it much easier for her to obtain the finance she needs.

Question 2

2(a) Business documents

Business organizations perform many transactions daily, which require the use of documents. (i) List THREE types of business documents. (3 marks); (ii) State THREE reasons why firms utilize documents in business transactions. (3 marks)

(a)(i) THREE types of business documents

- Invoice, which is sent by the seller to the buyer to request payment for goods or services supplied.
- Receipt, which is given by the seller to the buyer as proof that payment has been received.
- Purchase order, which is sent by the buyer to the seller to officially request goods or services.

(a)(ii) THREE reasons firms utilize documents

- To provide a written record of each transaction so that both buyer and seller can refer back to it if there is any disagreement.
- To support the keeping of proper books of accounts and the preparation of financial statements at the end of the year.

- To meet legal and tax requirements, since documents such as invoices and receipts are often needed as evidence when filing tax returns.

2(b) Insurance vs assurance

Distinguish between 'insurance' and 'assurance'. (4 marks)

Insurance

Insurance is a contract between a firm or individual and an insurance company in which the policyholder pays a premium and the insurance company agrees to pay compensation if a particular event happens, but the event may or may not happen. Examples include fire insurance and motor insurance, where the company only pays out if there is actually a fire or an accident.

Assurance

Assurance is a contract that covers an event that is certain to happen at some point, even though the exact time is unknown. The most common example is life assurance, where the insurance company is certain to pay out either when the policyholder dies or when the policy reaches its maturity date, so the only uncertainty is when the payment will be made.

2(c) Types of insurance policies

Name TWO types of insurance policies. (2 marks)

- Motor vehicle insurance, which covers loss or damage caused by a road accident or theft of a vehicle.
- Fire insurance, which covers loss or damage to buildings, equipment and stock caused by fire.

2(d) Principle of insurance

Outline ONE principle upon which insurance is based. (2 marks)

Utmost good faith

The principle of utmost good faith requires both the policyholder and the insurance company to disclose all important information honestly when the policy is being taken out. The policyholder must give true answers about matters such as health, age or the condition of the property being insured, and the insurance company must explain the terms of the policy clearly. If either party hides important facts, the policy may be cancelled and any claim refused.

2(e) Benefits of insurance to a firm

Explain TWO ways in which insurance is beneficial to a firm. (6 marks)

Protection against financial losses

Insurance protects the firm against the heavy financial losses that could happen if its building burns down, its stock is stolen or its delivery vehicle is damaged in an accident. By paying a relatively small premium each year, the firm transfers the risk of these losses to the insurance company, which agrees to pay the cost of repairs or replacement. This means that one bad event does not destroy the business, and the firm can continue trading with a much smaller setback.

Helps the firm to plan and obtain finance

Because insured risks are covered, the firm can plan its future spending and operations with much greater confidence. Banks and other lenders are also more willing to lend money to a firm that has proper insurance on its building, machinery and stock, because the lenders know that their security will not be lost in a fire or other disaster. Insurance therefore makes it easier for the firm to obtain loans and to expand its operations.

Question 3

3(a) Advantages to the customer of terms of sales

State TWO advantages to the customer of utilizing EACH of the following terms of sales: (i) Cash (2 marks); (ii) Hire purchase (2 marks); (iii) Layaway (2 marks)

(a)(i) Cash - TWO advantages

- The customer often gets a cash discount, which lowers the final price of the goods.
- The customer takes the goods home immediately and owes nothing further, so there is no risk of debt or interest charges.

(a)(ii) Hire purchase - TWO advantages

- The customer can take the goods home after paying only a small deposit, which means that he or she can use expensive items such as appliances and furniture without having to pay the full price upfront.
- The remaining payments are spread out into smaller monthly instalments, which makes it easier for the customer to fit the cost into a regular household budget.

(a)(iii) Layaway - TWO advantages

- The customer can secure the price of the item at the time of layaway, so even if the price goes up later, the customer still pays the original agreed price.
- The customer pays for the item in small instalments without paying any interest, since the seller keeps the goods until they are fully paid for, which avoids the cost of borrowing.

3(b) Factor influencing consumer behaviour

Describe ONE factor that could influence the behaviour of consumers. (2 marks)

Level of income of the consumer

The amount of disposable income a consumer has greatly influences what and how much he or she buys. A consumer with a high income can afford to buy more goods, more expensive brands and a wider variety of products, while a consumer with a low income tends to buy mainly basic items, cheaper brands and goods that are on sale. As income rises or falls, the consumer's spending pattern usually changes to match.

3(c) Chain of distribution

Figure 1 shows a traditional chain of distribution for a certain product. Identify EACH link in the chain by placing the correct name in EACH box above. (4 marks)

The traditional chain of distribution moves goods from the producer to the final consumer through the following four links:

- Producer (manufacturer) - the firm that actually makes the product.
- Wholesaler - the merchant who buys large quantities from the producer and breaks the bulk into smaller amounts.
- Retailer - the shopkeeper who buys from the wholesaler and sells in small amounts to the public.
- Consumer - the final user of the product.

3(d) Problems in distribution

List FOUR problems that are likely to be encountered in the distribution of goods. (4 marks)

- Damage to goods during loading, transport and unloading, especially fragile or perishable items.
- Theft or pilferage of goods while they are in transit or in storage.
- Delays caused by bad weather, traffic, mechanical breakdowns or industrial action at the ports.
- High transport and storage costs, which raise the final price of the goods to consumers.

3(e) Suitable mode of transportation

Suggest ONE appropriate mode of transportation for EACH of the following products. (i) Fresh meat from processing plant to supermarket (1 mark); (ii) Cement from factory to construction site (1 mark); (iii) Oil from oilfield to refinery (1 mark); (iv) Bauxite from mine to processing plant (1 mark)

- Fresh meat from processing plant to supermarket: refrigerated truck (road transport).
- Cement from factory to construction site: heavy-duty truck (road transport).
- Oil from oilfield to refinery: pipeline.
- Bauxite from mine to processing plant: rail (or conveyor belt where distance is short).

Question 4

4(a) Budget and personal income

Outline TWO ways in which a budget could assist persons in the management of their personal income. (4 marks)

Helps to plan spending and avoid waste

A personal budget lists the income a person expects to receive and the expenses he or she expects to pay over a set period such as a month. By writing this down in advance, the person can see how much money is available for each item and can avoid spending more than is earned. This helps to cut out unnecessary spending and makes sure that the most important bills, such as rent and utilities, are always paid first.

Encourages saving and reaching financial goals

A budget allows the person to set aside a fixed amount each month for savings before any spending is done. This makes it easier to build up an emergency fund and to save towards bigger goals such as buying

a car, starting a business or paying for further education. Without a budget, money is often spent as it comes in and there is little or nothing left over to save.

4(b) Services offered by commercial banks

Describe THREE services offered by commercial banks. (6 marks)

Accepting deposits from customers

Commercial banks accept money from individuals and businesses in the form of current accounts, savings accounts and fixed deposit accounts. The customer's money is kept safe in the bank, and on savings and fixed deposit accounts the customer earns interest. Customers can put money into their accounts and take it out again as needed.

Providing loans and overdrafts

Commercial banks lend money to customers in the form of personal loans, business loans, mortgages and overdrafts. The bank charges interest on these loans, and the customer agrees to repay the money over a fixed period. This service helps individuals to buy houses, vehicles and household items, and helps businesses to expand or to cover short-term cash needs.

Providing payment and electronic banking services

Commercial banks provide a wide range of services to help customers make and receive payments, including cheques, debit and credit cards, online banking, mobile banking, automated teller machines (ATMs) and wire transfers. These services allow customers to pay bills, transfer money and shop both locally and overseas without having to carry large amounts of cash.

4(c) Functions of a central bank

List FOUR functions of a central bank. (4 marks)

- Issuing the country's notes and coins as the sole authority for currency.
- Acting as banker to the government, holding government accounts and managing the national debt.
- Acting as banker and lender of last resort to the commercial banks.
- Controlling the money supply and regulating the banking system through monetary policy.

4(d) Central bank measures to regulate commercial banks

Explain how the central bank uses EACH of the following measures to regulate the activities of commercial banks. (i) Open market operations (3 marks); (ii) Liquid asset requirements (3 marks)

(d)(i) Open market operations

Open market operations involve the central bank buying or selling government securities, such as treasury bills and bonds, in the open market. When the central bank sells securities, the commercial banks pay for them with their cash, which reduces the amount of money the banks have available to lend. When the central bank buys securities, money flows into the commercial banks and increases the amount they can lend. In this way the central bank controls the supply of credit in the economy.

(d)(ii) Liquid asset requirements

The liquid asset requirement is a rule made by the central bank that forces every commercial bank to keep a certain percentage of its deposits in the form of cash or near-cash assets that can be turned into money quickly. By raising the liquid asset ratio, the central bank reduces the amount that commercial banks have left over to lend, which slows down the growth of credit in the economy. By lowering the ratio, the central bank releases more money for lending and encourages economic activity.

Question 5

5(a) Types of taxes

Define EACH of the following types of taxes: (i) Progressive tax (2 marks); (ii) Proportional tax (2 marks)

(a)(i) Progressive tax

A progressive tax is a tax in which the rate of tax increases as the income or value of the item being taxed increases. This means that persons or businesses with higher incomes pay a larger percentage of their income in tax than persons with lower incomes. Income tax in most Caribbean countries is a progressive tax.

(a)(ii) Proportional tax

A proportional tax is a tax in which the rate of tax stays the same regardless of the level of income or the value of the item being taxed. Every taxpayer pays the same percentage of their income, so the actual amount paid rises in proportion to the income. A flat-rate company tax is an example of a proportional tax.

5(b) Reasons governments charge taxes

State THREE reasons why governments charge taxes. (3 marks)

- To raise revenue to pay for public goods and services such as schools, hospitals, roads and the police.
- To redistribute income from richer to poorer citizens through progressive taxes and social programmes.
- To discourage the use of harmful goods such as cigarettes, alcohol and gambling, by placing high taxes on them.

5(c) Government regulation of business activities

Identify THREE ways in which governments regulate the activities of businesses. (3 marks)

- By passing laws that set minimum standards for product safety, health and quality, such as food and drug regulations.
- By requiring businesses to register, obtain operating licences and meet zoning rules before they can open.

- By setting rules for fair employment, including minimum wages, safe working conditions and the protection of workers' rights.

5(d) Government measures to protect consumers

Outline TWO measures used by governments to protect consumers. (4 marks)

Passing consumer protection laws

Governments pass laws such as the Sale of Goods Act and the Consumer Protection Act, which set out the rights of consumers and the duties of sellers. These laws make sure that goods sold are of the quality described and are fit for the purpose for which they are sold, and they give consumers the right to a refund or replacement if the goods are faulty.

Setting up Bureau of Standards and consumer affairs offices

Governments set up agencies such as the Bureau of Standards and the Consumer Affairs Department to inspect goods and businesses, to investigate complaints from the public and to take legal action against businesses that cheat consumers. These agencies also provide information that helps consumers to make wiser buying choices.

5(e) Benefits of training centres for citizens

The government of your country has set up centres to train citizens in computer engineering and small appliance repair. Explain TWO benefits that could be gained from this initiative. (6 marks)

Reduction in unemployment and an increase in incomes

By training citizens in computer engineering and small appliance repair, the government provides skills that are in high demand both in workplaces and in self-employment. Citizens who complete the training are more likely to find jobs as technicians or to start their own repair businesses. As more people earn an income, unemployment falls, household incomes rise and government spending on welfare benefits is reduced.

Encouragement of entrepreneurship and savings on imports

Once citizens have the skills, many of them can open small repair shops in their communities, which creates new businesses and adds to economic growth. The country also depends less on foreign technicians and on importing replacement appliances, because more items can now be repaired locally. This saves foreign exchange and encourages a stronger local economy with more skilled workers.